13-1b Costs as Opportunity Costs

When measuring costs at Chloe's Cookie Factory or any other firm, it is important to keep in mind one of the *Ten Principles of Economics* from Chapter 1: The cost of something is what you give up to get it. Recall that the *opportunity cost* of an item refers to all the things that must be forgone to acquire that item. When economists speak of a firm's cost of production, they include all the opportunity costs of making its output of goods and services.

While some of a firm's opportunity costs of production are obvious, others are less so. When Chloe pays $1,000 for flour, that $1,000 is an opportunity cost because Chloe can no longer use that $1,000 to buy something else. Similarly, when Chloe hires workers to make the cookies, the wages she pays are part of the firm's costs. Because these opportunity costs require the firm to pay out some money, they are called **explicit costs** (input costs that require an outlay of money by the firm) . By contrast, some of a firm's opportunity costs, called **implicit costs** (input costs that do not require an outlay of money by the firm) , do not require a cash outlay. Imagine that Chloe is skilled with computers and could earn $100 per hour working as a programmer. For every hour that Chloe works at her cookie factory, she gives up $100 in income, and this forgone income is also part of her costs. The total cost of Chloe's business is the sum of her explicit and implicit costs.

The distinction between explicit and implicit costs highlights a difference between how economists and accountants analyze a business. Economists are interested in studying how firms make production and pricing decisions. Because these decisions are based on both explicit and implicit costs, economists include both when measuring a firm's costs. By contrast, accountants have the job of keeping track of the money that flows into and out of firms. As a result, they measure the explicit costs but usually ignore the implicit costs.

The difference between the methods of economists and accountants is easy to see in the case of Chloe's Cookie Factory. When Chloe gives up the opportunity to earn money as a computer programmer, her accountant will not count this as a cost of her cookie business. Because no money flows out of the business to pay for this cost, it never shows up on the accountant's financial statements. An economist, however, will count the forgone income as a cost because it will affect the decisions that Chloe makes in her cookie business. For example, if Chloe's wage as a computer programmer rises from $100 to $500 per hour, she might decide that running her cookie business is too costly. She might choose to shut down the factory so she can take a job as a programmer.